Four Types of Capital and Financial Flows

The integration of the global market for production of goods and services and the difference in the capital and financial resource bases of countries have led to the movement of capital and investment internationally. This movement is now primarily in private flows.

Capital and financial account flows not only serve the purpose of financing the current account deficit, but also contribute to capital formation in recipient countries.

There are four important types of capital/financial flows.

First, direct investments by foreign corporations and investors in companies and other business entities producing goods and services. In India, we describe these as FDI and outward direct investment (ODI).

Second, purchase of securities—equity and debt—on stock exchanges or bilaterally under what is described as the over-the-counter (OTC) market by non-residents. In India, such financial investments are called FPI, which, at the broader level, includes such investments by NRIs in securities.

Third, the investments other than FDI and FPI or ‘Other Investments’. This includes other equity (American depository receipts and global depository receipts, or ADRs and GDRs); currency and deposits, primarily NRI deposits in India’s case; loans that include external assistance availed by the government; ECBs taken by corporates and banking capital; insurance, pension and guarantee investments; trade credit and advances; other receivables and movements in special drawing rights (SDRs).

Fourth, reserve assets, which include the movement of monetary gold (gold bought, sold and retained by central banks for monetary purposes), and reserve assets held in other jurisdictions.

If we take the movement in reserve assets as part of the capital and financial account, the surplus or deficit in this account would broadly mirror the deficit and surplus in the current account. In other words, the combined effect of the surplus and deficit in the current and